continued to apply. Effective rate of CIT for companies opting for this option, therefore, became 25.17 per cent.

For domestic manufacturing companies registered after 30 September 2019 and setting up and starting a new manufacturing facility before 1 April 2023, and not availing the specified deductions, the CIT rate was brought down to 15 per cent. With health surcharge, the effective CIT rate for companies opting not to avail specified deductions would be subject to a very low rate of 17.25 per cent only for the profits arising out of new manufacturing facilities set up after 30 September 2019.

Major deductions to be disallowed to companies opting for lower CIT rates included deduction for new units in SEZ; investment in new plant and machinery in notified backward areas; expenditure on scientific research, agriculture extension, etc., and depreciation of new plant and machinery in certain cases.

The existing companies could exercise the option to move to the lower tax rate regime in any year of their choosing, which would be irreversible after it was exercised.

Significant changes were also made in the Minimum Alternate Tax (MAT) applicable on companies. No MAT was leviable on companies opting for lower corporate income tax rates of 22 per cent and 15 per cent. For other companies, MAT rates were reduced from 18.5 per cent to 15 per cent.

Status of Corporate Tax Incidence on Manufacturing and Non-Manufacturing Corporates

In a press statement issued on 20 September 2019, the government cited promotion of growth and investments as the justification for slashing the normal corporate tax rate to 22 per cent, and attracting fresh investment in manufacturing to boost Make in India for offering an even lower corporate tax rate of 15 per cent for new manufacturing companies. The government